Reverse Charge Policy

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Approved by	Vikram Nair (financial controller)
Status	Approved

1. Purpose

For some services the law makes the buyer pay the GST instead of the supplier (reverse charge). This policy says how Northbridge finds those services, pays the tax and claims it back. The list of services and rates is the RCM Services Table in master data, kept by the tax manager.

2. Paying

2.1 Paying reverse-charge GST

Reverse-charge GST is paid in cash only, never from input tax credit (CGST Act section 49(4)). It can be claimed back as credit in the same return, after it is paid.

3. Timing and documents

3.1 When the tax is due

For services under reverse charge, the tax is due on the earlier of the payment date and the 61st day after the supplier's invoice date.

3.2 Self-invoice

For a supplier that is not registered, a self-invoice is issued within 30 days of receiving the service (Rule 47A).

4. Unclear cases

If a service is not clearly in the RCM Services Table, the bill is held for the tax manager. Ask Northbridge reads only the approved table.